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Standard Chartered | Asia Pacific

1Q26 PBT beat driven by strong revenue, CET1 ratio 30bps below estimates

Reaction to earnings

Unchanged Impact to our thesis Modest upside Financial results versus consensus Largely unchanged Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Strong 1Q revenue, driven by wealth (similar to DBS). Costs well controlled. More details on Middle East exposures. watchful on outlook, but manageable for now.
- Medium-term target expected in May. Investors are likely to wait for this and greater clarity on macro.

- Total revenues +6%/4% vs. Cons/MSe respectively (1.1% of beat from DVA). Volume and mix benefits offset rate pressure on NII. Loans and deposits grew 3% QoQ at ccy. Beat in non-NII driven by strong wealth and global banking.
- Wealth: AUM -1% QoQ due to FX and negative market movements, partly offset by NNM of US\$18bn (split US\$12bn product sales, US\$6bn deposits).
- Costs in-line. Credit charges marginally above expectation, including management overlays of US\$190m in relation to the Middle East conflict, offset by recoveries and releases. Detailed Middle East exposures provided.
- CET1 of 13.4% - below MSe/Cons - a result both of higher RWAs (credit and market risk) and lower CET1 Capital. 74bps CET1 accretion offset by 58bps impact of share buy back and 24bps negative from OCI.
- Guidance unchanged - with medium term guidance provided in the May seminar. Watchful on the external environment.

Exhibit 1: Standard Chartered 1Q26 result review

STAN - US\$ mn	1Q25	2Q25	3Q25	4Q25	1Q26A	YoY	QoQ	1Q26 Cons	Actual vs. Cons	1Q26E	Actual vs. Mse
Net interest income	2,797	2,702	2,737	2,948	2,869	3%	-3%	2,781	3%	2,800	2%
Non-interest income	2,582	2,825	2,373	1,978	3,033	17%	53%	2,805	8%	2,874	6%
Operating income	5,379	5,527	5,110	4,926	5,902	10%	20%	5,586	6%	5,674	4%
Operating expenses (ex-levy)	(3,046)	(3,201)	(3,144)	(3,861)	(3,140)	3%	-19%	(3,142)	0%	(3,188)	-2%
Bank levy	0	0	0	(52)		n/a	n/a	0	n/a		n/a
Total expenses	(3,046)	(3,201)	(3,144)	(3,913)	(3,140)	3%	-20%	(3,142)	0%	(3,188)	-2%
Pre-provision profit	2,333	2,326	1,966	1,013	2,762	18%	173%	2,444	13%	2,486	11%
Loan impairment	(217)	(119)	(188)	(148)	(296)	36%	100%	(287)	3%	(236)	25%
Other impairment	(15)	(4)	(22)	(24)	(2)	-87%	-92%	(20)	-90%	(20)	-90%
Profit from Associates & JV	2	77	10	(27)	(14)	-800%	-48%	7	-300%	(4)	250%
Statutory Profit before tax	2,103	2,280	1,766	814	2,450	17%	201%	2,144	14%	2,226	10%
Other Key Information											
CRD IV Capital (\$)	35,122	37,260	36,594	36,440	35,616	1%	-2%	36,100	-1%	35,894	-1%
CRD IV Risk Weighted Assets (\$bn)	253,596	259,684	258,378	258,031	266,186	5%	3%	262,100	2%	262,369	1%
CRD IV CET1 Ratio (%)	13.8%	14.3%	14.2%	14.1%	13.4%	(40bps)	(70bps)	13.8%	(40bps)	13.7%	(28bps)

Source: Company data, Company consensus, e= Morgan Stanley Research estimates

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Hong Kong Financials | Hong Kong

Stock Rating Overweight
Industry View In-Line
Price target HK\$195.00
Shr price, close (Apr 29, 2026) HK\$187.20
52-Week Range HK\$206.00-108.20
Sh out, dil, curr (mn) 2,247
Mkt cap, curr (mn) US\$53,689
EV, curr (mn) US\$54,398
Avg daily trading value (mn) HK\$174

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Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 10% bull, 80% base, 10% bear (based upon likelihood of different macro outcomes, as well as returns and franchise improvement).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.4x bull, 1.35x base, 0.51x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver of cost targets

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/29/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$44.08
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$141.00
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$187.20
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$419.80

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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